

HOUSE BILL NO. 141

INTRODUCED BY E. BUTTREY, C. SCHOMER, B. LER, G. HERTZ

A BILL FOR AN ACT ENTITLED: "AN ACT REVISING GAMBLING LAWS TO ALLOW NONPROFIT ORGANIZATIONS, COLLEGES, UNIVERSITIES, AND SCHOOL DISTRICTS TO USE CREDIT CARDS FOR RAFFLES; REVISING THE DESCRIPTION OF "CREDIT GAMBLING" AND THE DEFINITION OF "INTERNET GAMBLING" TO ALLOW CERTAIN ENTITIES TO USE CREDIT CARDS FOR RAFFLES; AMENDING SECTIONS 23-5-112, 23-5-157, AND 23-5-413, MCA; AND PROVIDING AN EFFECTIVE DATE."

BE IT ENACTED BY THE LEGISLATURE OF THE STATE OF MONTANA:

Section 1. Section 23-5-112, MCA, is amended to read:

"23-5-112. Definitions. Unless the context requires otherwise, the following definitions apply to parts 1 through 8 of this chapter:

(1) "Antique gambling device" means:

(a) an illegal gambling device manufactured prior to 1994; or

(b) any gambling device which, at any present time, is 30 years old or older.

(2) "Applicant" means a person who has applied for a license or permit issued by the department pursuant to parts 1 through 8 of this chapter.

(3) "Application" means a written request for a license or permit issued by the department. The department shall adopt rules describing the forms and information required for issuance of a license.

(4) "Associated gambling business" means a person who provides a service or product to a licensed gambling business and who:

(a) has a reason to possess or maintain control over gambling devices;

(b) has access to proprietary information or gambling tax information; or

(c) is a party in processing gambling transactions.

(5) "Authorized equipment" means, with respect to live keno or bingo, equipment that may be inspected by the department and that randomly selects the numbers.

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(6) "Bingo" means a gambling activity played for prizes with a card bearing a printed design of 5 columns. The letters B-I-N-G-O must appear above the design, with each letter above one of the columns. More than 75 numbers may not be used. One or more numbers may appear in each square, except for the center square, which may be considered a free play. Numbers must be randomly drawn using authorized equipment until the game is won by the person or persons who first cover one or more previously designated arrangements of numbers on the bingo card.

(7) "Bingo caller" means a person 18 years of age or older who, using authorized equipment, announces the order of the numbers drawn in live bingo.

(8) "Bingo session" means all activities incidental to a series of bingo games conducted by a licensed operator beginning when the first bingo ball is drawn in the first game of bingo.

(9) "Card game table" or "table" means a live card game table:

(a) authorized by permit and made available to the public on the premises of a licensed gambling operator; or

(b) operated by a senior citizen center.

(10) "Card game tournament" means a gambling activity for which a permit has been issued involving participants who pay valuable consideration for the opportunity to compete against each other in a series of live card games conducted over a designated period of time.

(11) "Dealer" means a person with a dealer's license issued under part 3 of this chapter.

(12) "Department" means the department of justice.

(13) "Distributor" means a person who:

(a) purchases or obtains from a licensed manufacturer, distributor, route operator, or operator equipment of any kind for use in gambling activities; and

(b) sells the equipment to a licensed manufacturer, distributor, route operator, or operator.

(14) (a) "Gambling" or "gambling activity" means risking any money, credit, deposit, check, property, or other thing of value for a gain that is contingent in whole or in part upon lot, chance, or the operation of a gambling device or gambling enterprise.

(b) The term does not mean conducting or participating in:

(i) promotional games of chance;

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- 1 (ii) amusement games regulated by Title 23, chapter 6, part 1;
- 2 (iii) social card games of bridge, cribbage, hearts, pinochle, pitch, rummy, solo, and whist played
- 3 solely for prizes of minimal value, as defined by department rule; or
- 4 (iv) patron dice games as defined in this section.
- 5 (15) "Gambling device" means a mechanical, electromechanical, or electronic device, machine, slot
- 6 machine, instrument, apparatus, contrivance, scheme, or system used or intended for use in any gambling
- 7 activity.
- 8 (16) "Gambling enterprise" means an activity, scheme, or agreement or an attempted activity,
- 9 scheme, or agreement to provide gambling or a gambling device to the public.
- 10 (17) (a) "Gift enterprise" means a gambling activity in which persons have qualified to obtain
- 11 property to be awarded by purchasing or agreeing to purchase goods or services.
- 12 (b) The term does not mean:
- 13 (i) a cash or merchandise attendance prize or premium that county fair commissioners of
- 14 agricultural fairs and rodeo associations may give away at public drawings at fairs and rodeos;
- 15 (ii) a promotional game of chance;
- 16 (iii) an amusement game regulated under Title 23, chapter 6;
- 17 (iv) a savings promotion raffle offered by a bank, trust company, mutual savings bank, savings and
- 18 loan association, or credit union authorized to do business and accept deposits in this state under state or
- 19 federal law and conducted in compliance with 23-5-413 that entitles individual members or depositors equal
- 20 chances to win a designated prize by depositing a sum of money during a specified savings period; or
- 21 (v) an entry into a raffle as a result of paying membership dues or making a purchase of an item
- 22 offered during a fundraising event held by a nonprofit organization.
- 23 (18) "Gross proceeds" means gross revenue received less prizes paid out.
- 24 (19) "Heads or tails" means a gambling activity in which players attempt to predict the outcome of a
- 25 coin toss. Those who are incorrect are eliminated and those who are correct continue to another round until one
- 26 winning player remains and is awarded a prize.
- 27 (20) "House player" means a person participating in a card game who has a financial relationship
- 28 with the operator, card room contractor, or dealer or who has received money or chips from the operator, card

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1 room contractor, or dealer to participate in a card game.

2 (21) "Illegal gambling device" means a gambling device not specifically authorized by statute or by
3 the rules of the department. The term includes:

4 (a) a ticket or card, by whatever name known, containing concealed numbers or symbols that may
5 match numbers or symbols designated in advance as prize winners, including a pull tab, punchboard, push
6 card, tip board, pickle ticket, break-open, or jar game, except for one used under Title 23, chapter 7, under part
7 5 of this chapter, in a bingo game approved by the department under part 4 of this chapter, or in a promotional
8 game of chance approved by the department; and

9 (b) an apparatus, implement, or device, by whatever name known, specifically designed to be
10 used in conducting an illegal gambling enterprise, including a faro box, faro layout, roulette wheel, roulette
11 table, craps table, or slot machine, except as provided in 23-5-153.

12 (22) "Illegal gambling enterprise" means a gambling enterprise that violates or is not specifically
13 authorized by a statute or a rule of the department. The term includes:

14 (a) a card game, by whatever name known, involving any bank or fund from which a participant
15 may win money or other consideration and that receives money or other consideration lost by the participant
16 and includes the card games of blackjack, twenty-one, jacks or better, baccarat, or chemin de fer;

17 (b) dice games known as craps, hazard, or chuck-a-luck, but not including patron dice games or
18 activities authorized by 23-5-160;

19 (c) credit gambling, except as provided in 23-5-413; and

20 (d) internet gambling.

21 (23) (a) "Internet gambling", by whatever name known, includes but is not limited to the conduct of
22 any legal or illegal gambling enterprise through the use of communications technology that allows a person
23 using money, paper checks, electronic checks, electronic transfers of money, credit cards, debit cards, or any
24 other instrumentality to transmit to a computer information to assist in the placing of a bet or wager and
25 corresponding information related to the display of the game, game outcomes, or other similar information.

26 (b) The term does not include:

27 (i) _____ the operation of a simulcast facility or advance deposit wagering with a licensed advance
28 deposit wagering hub operator allowed by Title 23, chapter 4, the state lottery provided for in Title 23, chapter 7,

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1 or a raffle authorized under Title 23, chapter 5, part 4, that is sponsored by a nonprofit organization and that is
2 registered with the department. If all aspects of the gaming are conducted on Indian lands in conformity with
3 federal statutes and with administrative regulations of the national Indian gaming commission, the term does
4 not include class II gaming or class III gaming as defined by 25 U.S.C. 2703.

5 (ii) a raffle conducted under 23-5-413 by a nonprofit organization, college, university, or school
6 district in which a participant pays for a raffle ticket with a credit card.

7 (24) "Keno" means a game of chance in which prizes are awarded using a card with 8 horizontal
8 rows and 10 columns on which a player may pick up to 10 numbers. A keno caller, using authorized equipment,
9 shall select at random at least 20 numbers out of numbers between 1 and 80, inclusive.

10 (25) "Keno caller" means a person 18 years of age or older who, using authorized equipment,
11 announces the order of the numbers drawn in live keno.

12 (26) "License" means a license for an operator, dealer, card room contractor, manufacturer of
13 devices not legal in Montana, sports tab game seller, manufacturer of electronic live bingo or keno equipment,
14 other manufacturer, distributor, or route operator that is issued to a person by the department.

15 (27) "Licensee" means a person who has received a license from the department.

16 (28) "Live card game" or "card game" means a card game that is played in public between persons
17 on the premises of a licensed gambling operator or in a senior citizen center.

18 (29) (a) "Lottery" means a scheme, by whatever name known, for the disposal or distribution of
19 property among persons who have paid or promised to pay valuable consideration for the chance of obtaining
20 the property or a portion of it or for a share or interest in the property upon an agreement, understanding, or
21 expectation that it is to be distributed or disposed of by lot or chance.

22 (b) The term does not mean lotteries authorized under Title 23, chapter 7.

23 (30) "Manufacturer" means a person who:

24 (a) assembles from raw materials or subparts a completed piece of equipment or pieces of
25 equipment of any kind to be used as a gambling device and who sells the equipment directly to a licensed
26 distributor, route operator, or operator;

27 (b) possesses gambling devices or components of gambling devices for the purpose of testing
28 them; or

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(c) purchases gambling devices or components from licensed manufacturers, distributors, route operators, or operators as trade-ins or to refurbish, rebuild, or repair to sell to licensed manufacturers, distributors, route operators, or operators.

(31) "Nonprofit organization" means an organization established as a nonprofit to support charitable, religious, scholastic, educational, veterans', fraternal, beneficial, civic, senior citizens', or service organizations' charitable activities, scholarships or educational grants, or community service projects.

(32) "Operator" means a person who purchases, receives, or acquires, by lease or otherwise, and operates or controls for use in public a gambling device or gambling enterprise authorized under parts 1 through 8 of this chapter.

(33) "Ownership" or "ownership interest" means the ability to:

(a) share in the profits, losses, or liabilities of a gambling operation;

(b) enjoy the privileges reserved to licensees; or

(c) control a gambling operation.

(34) (a) "Patron dice games" means dice games involving wagers played by two or more patrons over 18 years of age on the premises of a licensed gambling operator that the licensee does not promote and in which the licensee does not participate or acquire a financial interest either as the bank of the game or as the source of credit for players.

(b) The term does not include:

(i) an illegal gambling enterprise as defined in this section; or

(ii) activities authorized by 23-5-160.

(35) "Permit" means approval from the department to make available for public play a gambling device or gambling enterprise approved by the department pursuant to parts 1 through 8 of this chapter.

(36) "Person" or "persons" means both natural and artificial persons and all partnerships, corporations, associations, clubs, fraternal orders, and societies, including religious and charitable organizations.

(37) "Premises" means the physical building or property within or upon which a licensed gambling activity occurs, as stated on an operator's license application and approved by the department.

(38) "Promotional game of chance" means a scheme, by whatever name known, for the disposal or

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1 distribution of property among persons who have not paid or are not expected to pay any valuable
2 consideration or who have not purchased or are not expected to purchase any goods or services for a chance
3 to obtain the property, a portion of it, or a share in it. The property is disposed of or distributed by simulating a
4 gambling enterprise authorized by parts 1 through 8 of this chapter or by operating a device or enterprise
5 approved by the department that was manufactured or intended for use for purposes other than gambling.

6 (39) "Public gambling" means gambling conducted in:

7 (a) a place, building, or conveyance to which the public has access or may be permitted to have
8 access;

9 (b) a place of public resort, including but not limited to a facility owned, managed, or operated by a
10 partnership, corporation, association, club, fraternal order, or society, including a religious or charitable
11 organization; or

12 (c) a place, building, or conveyance to which the public does not have access if players are
13 publicly solicited or the gambling activity is conducted in a predominantly commercial manner.

14 (40) "Raffle" means a form of lottery in which each participant pays valuable consideration for a
15 ticket to become eligible to win a prize. Winners must be determined by a random selection process approved
16 by department rule.

17 (41) "Route operator" means a person who:

18 (a) purchases from a licensed manufacturer, route operator, or distributor equipment of any kind
19 for use in a gambling activity;

20 (b) leases the equipment to a licensed operator for use by the public; and

21 (c) may sell to a licensed operator equipment that had previously been authorized to be operated
22 on a premises and may sell gambling equipment to a distributor or manufacturer.

23 (42) "Senior citizen center" means a facility operated by a nonprofit or governmental organization
24 that provides services to senior citizens in the form of daytime or evening educational or recreational activities
25 and does not provide living accommodations to senior citizens. Services qualifying under this definition must be
26 recognized in the state plan on aging adopted by the department of public health and human services.

27 (43) (a) "Slot machine" means a mechanical, electrical, electronic, or other gambling device,
28 contrivance, or machine that, upon insertion of a coin, currency, token, credit card, or similar object or upon

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1 payment of any valuable consideration, is available to play or operate, the play or operation of which, whether
2 by reason of the skill of the operator or application of the element of chance, or both, may deliver or entitle the
3 person playing or operating the gambling device to receive cash, premiums, merchandise, tokens, or anything
4 of value, whether the payoff is made automatically from the machine or in any other manner.

5 (b) This definition does not apply to video gambling machines authorized under part 6 of this
6 chapter.

7 (44) "Video gambling machine" is a gambling device specifically authorized by part 6 of this chapter
8 and the rules of the department."

9
10 **Section 2.** Section 23-5-157, MCA, is amended to read:

11 **"23-5-157. Gambling on cash basis -- penalties.** (1) (a) Except as provided in subsection (1)(b), in
12 every gambling activity the consideration paid for the chance to play must be made in cash. A check or debit
13 card may be used to obtain cash to participate in a gambling activity. A participant shall present the cash
14 needed to play the game as the game is being played. If a check or debit card is used to obtain cash on the
15 premises of a licensee then it must be delivered and accepted unconditionally. A licensee or employee of a
16 licensee may not hold a check or other evidence of indebtedness for redemption pending the outcome of a
17 gambling activity.

18 (b) The consideration for the chance to participate in Calcutta pools as provided in 23-5-222,
19 raffles as provided in 23-5-413, casino nights as provided in 23-5-702, and card games normally scored using
20 points as provided in Title 23, chapter 5, part 3, may be paid by cash, check, or debit card.

21 (c) Credit gambling is prohibited, except as provided in 23-5-413. Credit gambling is offering or
22 accepting as part of the price of participation in a gambling activity or as payment of a debt incurred in a
23 gambling activity:

24 (i) a check, credit card, or debit card held pending the outcome of a gambling activity;

25 (ii) a loan of any kind at any time from or on behalf of a licensee;

26 (iii) any form of deferred payment, including a note, IOU, post-dated check, hold check, or other
27 evidence of indebtedness; or

28 (iv) a check issued or delivered that is accepted by the licensee with the knowledge that it will not

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1 be paid by the depository.

2 (2) A person who violates this section is guilty of a criminal offense under 23-5-156 and must be
3 punished in accordance with 23-5-161 or 23-5-162."
4

5 **Section 3.** Section 23-5-413, MCA, is amended to read:

6 **"23-5-413. Raffle prizes -- investigations -- rulemaking.** (1) (a) The department shall investigate all
7 violations of this part.

8 (b) The department may adopt rules to require recordkeeping for receipts and payouts under this
9 part and to establish procedures to ensure the fair selection of winners.

10 (2) (a) A person or organization conducting a raffle shall own all prizes to be awarded as part of
11 the raffle before the sale of any tickets.

12 (b) The value of a prize awarded for an individual ticket for a raffle conducted by a person or an
13 organization may not exceed \$5,000. Prizes may not be combined in any manner to increase the ultimate value
14 of the prize awarded for each ticket.

15 (c) The provisions of subsections (2)(a) and (2)(b) do not apply to a nonprofit organization, a
16 college, a university, a public school district as provided in 20-6-101 and 20-6-701, or a nonpublic school as
17 described in 20-5-102(2)(e). The proceeds from the sale of tickets for a raffle conducted by a nonprofit
18 organization, college, university, or school district may be used only for charitable purposes or to pay for prizes
19 and may not be used for the administrative costs of conducting the raffle.

20 (3) (a) The sale of raffle tickets authorized by this part is restricted to events and participants within
21 the geographic confines of the state. Nonprofit organizations may sell raffle tickets outside the state of Montana
22 if the purchase is not prohibited in the jurisdiction in which the purchaser resides.

23 (b) Except raffles sponsored by nonprofit organizations, the sale of raffle tickets may not be
24 conducted over the internet. All raffle announcements or advertisements conducted over the internet must
25 include this sale restriction, the name of the organization offering the raffle, and all raffle terms.

26 (c) Except for a raffle sponsored by a nonprofit organization, college, university, or school district,
27 the sale of a raffle ticket may not be purchased with a credit card."
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